

AIAENG

Earnings Call Transcript • Feb 2026

FINANCIAL PERFORMANCE

Metric	Figure (Q3 FY26)	YoY	QoQ
Operating Revenue	INR 1,066 crores	Not discussed	Not discussed
Total Income	INR 1,200 crores	Not discussed	Not discussed
EBITDA	INR 425 crores	Not discussed	Not discussed
PAT	INR 294 crores	Not discussed	Not discussed
EBITDA Margin	~40% (Reported) / ~28% (Operating)	Not discussed	Not discussed
Cash Balance	~INR 4,200 crores	Not discussed	Not discussed

9-Month Performance (Ended Dec 31, 2025): - Total Income: INR 3,495 crores - Operating Revenue: INR 3,153 crores - EBITDA: INR 1,241 crores - PAT: INR 876 crores

Operational Metrics: - Q3 Production: 67,896 tons - Q3 Sales: 64,500 tons - 9-Month Production/Sales: ~187,000 tons - Overall Capacity Utilization: 60% to 65% - Mill Liner Capacity Utilization (9M): ~50%

KEY HIGHLIGHTS

- **Strategic Capacity Rationalization:** The company closed its subsidiary plant, Welcast Steels in Bangalore, which had a capacity of 24,000 tons. This reduces total grinding media capacity from 340,000 tons to 316,000 tons, bringing total company capacity to 436,000 tons. Management noted that the plant was old and capacity had already been created at the Ahmedabad facility.
- **Other Income Composition:** Total other income for Q3 stood at INR 135 crores. This includes a foreign exchange gain of INR 50 crores (attributed to the Rupee moving beyond INR 90), treasury income of INR 83 crores, and export benefits of INR 18 crores.
- **South American Breakthrough:** The company announced its first chrome customer in the mining space in South America (Chile). Supplies have already commenced in Q3 and are expected to continue over an 18-month period.
- **Operational Run Rate:** The current annual run rate is approximately 250,000 to 260,000 tons, indicating the company is operating significantly below its total installed capacity.

GROWTH DRIVERS

- **Copper Structural Bull Run:** Management highlighted a severe global shortage of copper, noting that the amount of copper mined in all of human history (700 million tons) will be needed in the next 18 years to maintain a 3% growth rate. This is driven by data centers, renewables, and electronic devices, combined with depleting ore grades.
- **"Package Solution" Strategy:** AIA is shifting from selling standalone products to a combined solution of unique liners and high-chrome grinding media. The goal is to improve throughput and reduce operating costs (power, cyanide) for miners, rather than just competing on volume.
- **Conversion Opportunity:** The primary growth lever is the "conversion" of customers from forged grinding media to high-chrome solutions. Management is targeting a specific addressable market of 1.5 to 2 million tons in gold, copper, and iron ore, where high-chrome penetration is currently only 25%–35%.
- **Value Proposition in Ore Depletion:** As ore quality depletes, miners are seeing output drops. AIA's solution aims to maintain or improve throughput without requiring major capital expenditure from the client.

MANAGEMENT GUIDANCE & OUTLOOK

- **Capex Guidance (FY26):** Total guided capex is approximately INR 180 crores. As of the call, INR 105 crores has been spent. The remaining INR 75–80 crores is expected in Q4,

including INR 30 crores for solar hybrid capacity and INR 50–55 crores for other requirements.

- **Volume Outlook:** Management declined to provide specific volume guidance due to the unpredictable nature of mining trials and the time required for customers to move from "proof of concept" to full commercial engagement.
- **Margin Outlook:** Management is refraining from providing specific margin guidance, stating they are satisfied with current levels. They noted that higher volumes might actually lead to lower operating margins (23%–24% vs current 27%) depending on the product mix.

CAPEX / EXPANSION / ORDER BOOK

- **Ghana Expansion:** Land has been procured and site development is complete. The company is awaiting government clearances (expected in Q4 FY26). The facility is expected to be in place within the next 1.5 years.
- **China Expansion:** The process has been initiated, and a small lab has been set up. Management expects the facility to be operational within 1.5 to 2 years.
- **Modular Approach:** Management intends to use modular plants for international expansions to ensure quick setup and scalability.
- **Capacity Buffer:** Management stated that capacity will not be a constraint for growth, as they can ramp up existing facilities in Bangalore and Trichy or initiate new plants once they cross the 300,000–330,000 ton threshold.

RISKS, CONCERNS & RED FLAGS

- **Geopolitical & Logistics Risks:** Management cited "tremendous instability," specifically mentioning wars in the Southeast and issues in Iran. This has made shipping lanes fragile, leading to risks in container availability, shipping timelines, and volatile costs.
- **Protectionism and Duties:** The company has lost 75,000 to 80,000 tons of volume over the last 5–7 years due to protective duties in markets like South Africa, Canada, and Brazil. Management stated there is no recovery in South Africa and that these duties are likely "here to stay."
- **Customer Conservatism:** There is significant resistance from mining customers to switch from forged to chrome media or adopt new liner designs due to the risks associated with process changes.

- **Trial Timelines:** Management admitted that trials for new solution packages are taking longer than expected due to technical complexities and the need for design iterations.

ANALYST Q&A KEY TAKEAWAYS

- **Domestic vs. International Mining:** Mining volumes in India are relatively small, with Q3 volumes at ~5,000 tons and 9-month volumes at ~18,000 tons. Management explicitly stated that their primary growth focus is outside India (Latin America, Australia, Africa, CIS) where the opportunity is significantly larger (e.g., 0.5 million tons in Latin America).
- **Forex Impact:** Management clarified that currency is largely a "pass-through." While they deal primarily in USD, the importing countries often experience similar currency movements as India. Therefore, a weakening Rupee does not automatically translate to a proportional margin increase.
- **Mill Liner Competition:** The main incumbents are Elecmetal, Bradken, Metso, and an Indonesian firm. AIA's competitive edge is not based on metallurgy alone but on proprietary design and a "solution" approach rather than following OEM specs.
- **Trial Conversion:** Management confirmed that at least one large mine trial is expected to yield results in the next 2–3 months, with a second mine potentially taking 4–5 months.

OVERALL TONE & CREDIBILITY

- Overall tone: **Cautiously Bullish**
- **Justification:** Management is leaning heavily into a structural macro-tailwind (the copper shortage) and a strategic pivot toward "value-added solutions" rather than commodity volume. The financial health is robust, with a massive cash pile of INR 4,200 crores and strong margins. However, the tone is tempered by a realistic (and somewhat weary) admission of the difficulties in converting mining customers and the permanent loss of volumes in duty-protected markets. Management's credibility is high as they avoided giving aggressive volume guidance, instead emphasizing the slow, iterative nature of mining trials.